Unilever in the Global Economy, 2020–2025

BUSI 1763 · Group Mind Map · One question: how does Unilever grow in the US, its biggest market? · 2020–2025 · all money in €

UNILEVER

UK-based consumer goods MNE
Growing in the US, its biggest market

Globalisation

Speaker 1 · WHY the US

Levitt: one world market
the same global brands everywhere (e.g. Dove)

Five drivers
focus: technology · cost · political

Globalisation of markets
€50.5bn turnover (2025): 59% from emerging markets

The US stands out
about 21% of turnover (2025): the biggest single market

Global vs local = transnational
Dove: one global brand, local ranges · Power Brands 78%

Regional Integration

Speaker 2 · HOW it reaches the US

Five levels of integration
FTA → customs union → common market → union

USMCA = free trade area
replaced NAFTA (Jul 2020) · Mexico ≈ 16% of US goods trade (2023)

Rules of origin
qualifying goods cross the borders tariff-free

Trade creation vs diversion
Mexico plant +100% to ≈ €0.71bn (Apr 2025), mainly for the US

Benefit vs limit
tariff-free access to the US · only ≈ 50% of US imports from Mexico qualify (2024)

MNEs from Advanced Economies + CSR

Speaker 3 · WHAT it brings

MNE goals vs host-country goals
returns, costs vs jobs, control, clean environment

Ownership advantages
UK brands (Power Brands 78%) · R&D ≈ €1bn, 1.6% of turnover (2024)

Goal conflicts with the host
job cuts ≈ 6% of staff (Mar 2024) · US tariffs (Mar 2025)

CSR = licence to operate
framework: Unilever Compass (from Mar 2021)

CSR: progress vs setbacks
own emissions −77% vs 2015 · virgin plastic −29% vs −50% target (Dec 2025)

Critical view: purpose vs profit
Terry Smith: "lost the plot" (Jan 2022) · greenwashing claims

FDI

Speaker 4 · HOW it grows in the US

OLI model (Dunning)
Ownership · Location · Internalisation

Four motives
market · resource · efficiency · strategic asset

FDI entry mode: greenfield vs M&A
Unilever in the US = mainly M&A

Strategic asset-seeking
Paula's Choice (Aug 2021) · Nutrafol (Jul 2022)
K18 (Feb 2024) · Dr. Squatch (Sep 2025)

Benefit for Unilever
US sales +33% vs company +20% (2020–24) · premium = 70% of US beauty sales

Sources: Unilever PLC Annual Reports on Form 20-F 2020–2025; UNCTAD World Investment Report 2025; US Census Bureau; USTR; ECB euro reference rates (US$ converted to €); full Harvard references on our presentation slides.